

As we've already seen that the benchmark for investing is inflation, **tax-saving is a needless distraction**. They are like fries after a night-out - you absolutely would love to munch on a few but it ain't helping us in the overall picture. But, if you feel, "*I absolutely need to save more taxes from my salary, I'm a total dimwit*", go beyond your EPF contribution - begin contributions into VPF. If you have NPS [\[32\]](#), then contribute more there. Keep it simple if you want to do it.

Automating your investments

We have discussed where not to invest, where to invest and in what proportion. The next question is when to invest. To do that, let's look at how the Sensex [\[33\]](#) has fared from Nov. 1995 to April 2017.



What we see is a graph with a lot of ups and downs. When we see a trend chart like this, our mind salivates at the prospect of selling at the market peaks (downward arrows) and buy during market lows (upward arrows). With hindsight, we conveniently tend to forget that these arrows have been drawn *after* the high or low has occurred. As such, it is not possible to predict peaks and troughs in real time. But then, let's say you have an algorithm that helps you predict the highs and lows. While I, an average bonobo, decide that finding the highs and lows is too much work. And so, I invest on the 1st of every month.

If you and I start investing from Nov 1995:

A: You Buy-low: Buy Sensex units worth ₹ 1000 each month when the index is at the lowest.